

26STCV04081 26STCV04081

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SUPERIOR

COURT OF CALIFORNIA, COUNTY OF LOS ANGELES

Civil

Division

Central

District, Stanley Mosk Courthouse, Department 311 (formerly 19)

Tentative

Ruling

26STCV04081

SAMANTHA

NUSSBAUM, AN INDIVIDUAL, et al. vs CITY OF LOS ANGELES, A MUNICIPAL

CORPORATION, et al.

June

24, 2026

8:30

AM

NATURE OF PROCEEDINGS:

DEFENDANTS WEINGART CENTER ASSOCIATION AND WEINGART HK SHELBY LLC'S SPECIAL

MOTION TO STRIKE (CODE CIV. PROC. § 425.16). DEFENDANTS WEINGART CENTER

ASSOCIATION AND WEINGART HK SHELBY LLC'S DEMURRER TO PLAINTIFFS' FIRST AMENDED

COMPLAINT.

RULING:

The Court denies the Motion

to Strike.

The Court overrules the Demurrer.

Twenty

days to answer.

I.

BACKGROUND

On February 6, 2026, SAMANTHA

NUSSBAUM and HOWARD GROSSMAN (Plaintiffs) filed a Complaint against CITY OF LOS

ANGELES; LOS ANGELES HOUSING DEPARTMENT; CALIFORNIA DEPARTMENT OF HOUSING AND

COMMUNITY DEVELOPMENT; KAREN BASS; WEINGART CENTER ASSOCIATION; WEINGART HK

SHELBY LLC; and KEVIN MURRAY (Defendants).

On April 17, 2026,

Plaintiffs filed the First Amended Complaint (FAC), listing Causes of Action

for:

1.

TAXPAYER ACTION FOR WASTE, ILLEGAL EXPENDITURE OF PUBLIC FUNDS, AND CONFLICTS

OF INTEREST;

2.

FRAUD AND INTENTIONAL MISREPRESENTATION;

3.

NEGLIGENT MISREPRESENTATION;

4.

EQUITABLE RELIEF – VOIDABLE CONTRACTS;

5.

DECLARATORY RELIEF;

6.

WRIT OF MANDATE (CCP §1085);

7.

INJUNCTIVE RELIEF – ULTRA VIRES AND ILLEGAL ACTS.

Plaintiffs allege that they

seek to stop continued misuse of approximately \$58 million in public funds

committed to the acquisition and conversion of 3340 Shelby Drive, Los Angeles, involving a prior eviction of senior residents of Terraza of Cheviot Hills, after misrepresentations to Plaintiffs and other local residents that the facility would be drug-free, alcohol-free, occupied by people age 55 and older.

On May 19, 2026, WEINGART

CENTER ASSOCIATION and WEINGART HK SHELBY LLC (Defendants) filed the Demurrer

to the FAC's First, Second, Fourth, Fifth and Seventh Causes of Action, and the

Special Motion to Strike (SLAPP Motion) the Second and Third Causes of Action alleging

Intentional and Negligent Misrepresentation on grounds that protected activity

is alleged involving issues of public interest.

Plaintiffs oppose, based upon

counterarguments that the allegations sufficiently state the claim elements,

and they do not involve protected activity but after-the-fact fraud of no

public interest. Alternatively,

Plaintiffs request leave to amend, which Defendants argued against. (Demurrer Reply,

10:19-25.)

II.

LEGAL STANDARD

A. Demurrers

When considering

demurrers, courts read the allegations liberally, reasonably and in context. (MKB Management, Inc. v. Melikian (2010)

184 Cal.App.4th 796, 802; McKenney v.

Purepac Pharmaceutical Co. (2008) 167 Cal.App.4th 72, 77; Taylor v. City of Los Angeles Dept. of Water

and Power (2006) 144 Cal.App.4th 1216, 1228, disapproved of on other

grounds by Jones v. Lodge at

Torrey Pines Partnership (2008) 42 Cal.4th 1158, 1173.)

In ruling upon demurrers,

courts treat as being true “not only the complaint’s material factual

allegations, but also facts that may be implied or inferred from those

expressly alleged.” (Poseidon

Development, Inc. v. Woodland Lane Estates, LLC (2007) 152 Cal.App.4th

1106, 1111-1112. Accord, Schauer v.

Mandarin Gems of Cal., Inc. (2005) 125 Cal.App.4th 949, 953.)

Demurrers are to be

sustained where a pleading fails to plead adequately any essential element of

the cause of action. (Cantu v. Resolution

Trust Corp. (1992) 4 Cal.App.4th 857, 879-880.)

A complaint does not

necessarily need to be a model of pleading but needs sufficient factual

allegations. (E.g., State v. The Superior Court (2001) 87 Cal.App.4th

1409, 1411.) Generally, complaints must contain ultimate facts. (*Doe v. City of Los Angeles* (2007) 42

Cal.4th 531, 550; *Berger v. Cal. Ins.*

Guar. Ass'n (2005) 128 Cal.App.4th 989, 1006; *Ludgate Ins. Co. v. Lockheed Martin Corp.* (2000) 82 Cal.App.4th

592, 606.) It can be difficult to distinguish ultimate

facts from evidentiary facts and conclusions. (*Thomas v. Regents of Univ. of*

California (2023) 97 Cal.App.5th 587, 610.)

Furthermore, opinions

have not required absolute particularity in pleading, but instead sufficient

particularity. (See, e.g., *Armenta ex rel. City of Burbank v. Mueller*

Co. (2006) 142 Cal.App.4th 636, 644-645 [“The particularity with which the

second amended complaint notifies defendants of the nature of their liability

with respect to each of the newly named governmental entities emphasizes the

unjustness of conditioning the amendment on the entities' responses to

extraordinarily detailed discovery demands.”].) “ “The particularity required

in pleading facts depends on the extent to which the defendant in fairness

needs detailed information that can be conveniently provided by the plaintiff;

less particularity is required where the defendant may be assumed to have

knowledge of the facts equal to that possessed by the plaintiff.” ’ ’ (*Doheny Park Terrace Homeowners Assn., Inc.*

v. Truck Ins. Exchange (2005) 132 Cal.App.4th 1076, 1099 [“This fair notice

test is clearly satisfied here.”].)

Importantly, demurrers do

not lie as to only parts of causes of

action, where some valid claim is alleged. (E.g., *Poizner v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 119 [“A

demurrer must dispose of an entire cause of action to be sustained.”]; *Kong v. City of Hawaiian Gardens Redev.*

Agency (2003) 108 Cal.App.4th 1028, 1046.) Similarly, a demurrer does not

lie as to only a claim for relief where some valid claim is alleged. (E.g., *Caliber Bodyworks, Inc. v. Superior Court*

(2005) 134 Cal.App.4th 365, 384, disapproved on other grounds by *ZB, N.A. v. Superior Court* (2019) 8

Cal.5th 175, 196, fn. 8.)

B. SLAPP

Motions

Moving parties have the

initial burden to demonstrate that a cause of action is subject to a special

motion to strike. (*Martinez v. Metabolife Inter. Ins.* (2003) 113

Cal.App.4th 181, 186; *Fox Searchlight Pictures Inc. v. Paladino* (2001)

89 Cal.App.4th 294, 304.)

To determine if there was

any conduct in furtherance of the exercise of the constitutional right of

petition or right of free speech in connection with a public issue or one of

public interest (Code Civ. Proc., § 425.16, subd. (e)(4)), courts ask (1) what

public issue or issue of public interest is implicated by the activity, (2)

what is the functional relationship between the activity and the public

communicating about the issue, and (3) whether the activity contributes to

public discussion of that issue. (Geiser

v. Kuhns (2022) 13 Cal.5th 1238, 1249.)

If moving parties

successfully have shifted the burden, then opposing parties must demonstrate a

probability of prevailing on the merits of the complaint. (Equilon Ent., LLC v. Consumer Cause, Inc. (2002) 29

Cal.4th 53, 67; Matson v. Dvorak

(1995) 40 Cal.App.4th 539, 548.) A court need not reach the second prong

of the SLAPP analysis if the first prong [arising from protected conduct] was

not satisfied. (Wang v. Wal-Mart Real

Estate Business Trust (2007) 153 Cal.App.4th 790, 801.) "[A]n action may

not be dismissed under this statute if the plaintiff has presented admissible

evidence that, if believed by the trier of fact, would support a cause of

action against the defendant." (Taus v.

Loftus (2007) 40 Cal.4th 683, 729.) "The plaintiff need only establish that

his or her claim has 'minimal merit'...to avoid being stricken as a SLAPP." (Soukup v. Law Offices of Herbert Hafif

(2006) 39 Cal.4th 260, 291.) The opposing parties' burden as to an anti-SLAPP

motion is like that of a party opposing a motion for summary judgment. (E.g., DaimlerChrysler Motors Co. v. Lew Williams, Inc. (2006) 142

Cal.App.4th 344, 352.)

III.

ANALYSIS

A. Demurrer

1. Taxpayer

Action (Code Civ. Proc. § 526a)

Defendants demur to the

Taxpayer Action Cause of Action, on the following grounds:

.

Plaintiffs do not allege a public officer

or employee, in the performance of official duties, participated in making a

contract while having a financial interest. (Gov. Code § 1090.)

.

Code of Civil Procedure § 526a does not

authorize challenging Defendants' State conduct or Homekey administration.

.

The Claim improperly seeks to enjoin past

expenditures and unwind a completed transaction, including discretionary

government decisions.

.

The Claim does not specifically allege an

illegal expenditure or waste including as to site selection, purchase price,

appraisal, budget, deadlines, permitting, inspections, or the 15-year operating

plan.

.

The Cause of Action does not allege a

presently cognizable illegal expenditure.

Plaintiffs respond that:

.

The First Cause of Action is directed only

to local funds.

.

Section 526a reaches expenditures that

provide no public benefit, or are totally unnecessary or useless. (Mohler v.

County of Santa Clara (2023) 92 Cal.App.5th 418, 423–425.)

.

The FAC alleges such factors (FAC ¶¶ 4–7, 12,

42–43, 70–80, 86–91, 98–102, 121, 155–157).

.

The FAC challenges far more than just the

closed escrow, including ongoing construction expenditures of public funds.

The FAC addresses financial interests in

contracts that a governmental officer participated in making (FAC §§ 133–136, 164–169).

Code of Civil Procedure section

526a has a broad remedial purpose to promote prompt preventative action against

irremediable public injury. (Thompson v. Spitzer (2023) 90 Cal.App.5th

436, 455.) “Regardless of liberal construction, the essence of a taxpayer

action remains an illegal or wasteful expenditure of public funds or damage to

public property. The taxpayer action must involve an actual or threatened

expenditure of public funds.” (Waste Management of Alameda County, Inc. v.

County of Alameda (2000) 79 Cal.App.4th 1223, 1240.) To allege taxpayer

standing, “[g]eneral allegations, innuendo, and legal conclusions are not

sufficient...; rather, the plaintiff must cite specific facts and reasons for a

belief that some illegal expenditure or injury to the public fisc is occurring

or will occur.” (Ibid.) Plaintiffs have standing as interested citizens

to sue to seek to have laws executed and public duties enforced if the “public

duty is sharp and the public need weighty....”

(Urban Habitat Program v. City of Pleasanton (2008) 164

Cal.App.4th 1561, 1581. Accord,

Common Cause v. Board of Supervisors (1989) 49 Cal.3d 432, 439, 440.

Cf. A.J. Fistes Corp. v. GDL Best Contractors, Inc. (2019) 38

Cal.App.5th 677, 695 [“Although the third amended complaint is not a model of

clarity, it contains substantive factual allegations sufficient to apprise ... of

the claims ...: whether the award of the project contract ... was unlawful, and

whether ... must return the payments it received from the District for work

performed under the contract. Further, the third amended complaint alleges the

District violated Public Contract Code sections 20111.5 and 20111.6 by failing

to require prequalification of bidders, and that the District had a conflict of

interest ... in violation of Government Code section 1090.”].)

Here, the FAC alleges

various theories of illegality, including violating “fair market value”

requirements (§§ 42, 74 (“Taylor purchased and resold the Property within

approximately 10 days, netting approximately \$16.1 million in profit at

taxpayer expense.”), 87-91, 155 (“overpayment of approximately \$16.1

million.”), contract breaches including because “assisted living senior

residents were vacated by notice and threat of suit and court action, not by a

real relocation process....” (§§ 70(b), 98-102, 141), criminal involvement (§ 85

(“Taylor was arrested and indicted on federal charges including seven counts of

bank fraud, one count of money laundering, and one count of aggravated identity

theft, based in part on his acquisition and sale of the Property.”), wasteful past and future expenditures beyond from discretionary policymaking (§§ 92-97, 102-106, 120, 156-161), and a government official financially involved in contracting in violation of Government Code section 1090 (“§135 (“not only in his private capacity as Weingart's CEO but in a manner that engaged his official duties as a LACAHS board member, satisfying the predicate of Government Code section 1090.”), and 165.)

2. Intentional

Misrepresentation

Regarding Intentional

Misrepresentation, Defendants make the following points:

.

Alleged representations are about future operation of an unopened facility, and not actionable misstatements of past or existing fact.

.

Plaintiffs lack particularized facts

showing justifiable reliance, causation, or recoverable

.

damages.

.

The challenged statements postdate the

City approvals, funding disbursements, and escrow closing that Plaintiffs
purport to challenge.

.

The challenged statements are protected
speech and petitioning activity (Code Civ. Proc. § 425.16).

.

Negligent misrepresentation cannot rest on
a negligent false promise of future conduct.

Plaintiffs counterargue

that:

.

Alleged misrepresentations were statements
of then-existing documents and facts.

.

The FAC is pled with particularity.

.

Plaintiffs allege they justifiably relied
on the representations, by withdrawing organized opposition, declining to

retain counsel or pursue administrative remedies, and forgoing timely judicial

intervention. (FAC ¶¶ 176–177.)

.

Plaintiffs alleged harm caused by refraining

from opposition until the status quo became difficult to undo.

.

Even if the Yaroslavsky-attributed

statements are insufficient, the demurrer to part of a claim must be overruled,

because the Weingart Letter, the Fact Sheet, and the Boykin email are

Weingart's representations.

Generally, representations must have been about past or existing

facts, with exceptions such as a party is held out as possessing superior

knowledge and plaintiff reasonably relies. (Neu-Visions

Sports v. Soren (2000) 86 Cal.App.4th 303, 308. Cf. Miles v. Deutsche Bank Nat'l Trust Co.

(2015) 236 Cal.App.4th 394, 402-403 [misrepresentation of a future event may form the basis of

promissory fraud claim].)

“ ‘One who fraudulently

makes a misrepresentation of fact, opinion, intention or law for the purpose of

inducing another to act or to refrain from action in reliance upon it, is

subject to liability to the other in deceit for pecuniary loss caused to him by

his justifiable reliance upon the misrepresentation.' " (Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 174.) "[I]f the effect of a misrepresentation is to induce forbearance—to induce persons not to take action—and those persons are damaged as a result, they have a cause of action for fraud or negligent misrepresentation." (Schuster v. Gardner (2005) 127 Cal.App.4th 305, 314.)

Complainants must plead that fraud has caused damages. (Patrick v. Alacer (2008) 167 Cal.App.4th 995, 1016-1017.) Even for specifically pled fraud claims, only the damage type need be alleged, and "the absence of a specific amount from the complaint is not necessarily fatal as long as the pleaded facts entitle the plaintiff to relief." (Furia v. Helm (2003) 111 Cal.App.4th 945- 957. But see Nagy v. Nagy (1989) 210 Cal.App.3d 1262, 1268 ["An allegation of a definite amount of damage is essential...."].)

Here, as alleged participants in the subject project, the FAC well alleges Defendants' superior knowledge about future plans, communicated to residents relying upon the representations by ceasing organized opposition, and their knowledge of falsity as inferred from multiple contradictory documents. (E.g., FAC, ¶¶ 107-118, 174.)

Additionally, Plaintiffs

satisfactorily allege that, even after the facts of approvals, funding and

escrow, misrepresentations had induced them to forebear from pursuing further

organized opposition, administrative remedies, and other interventions. (E.g.,

FAC, ¶¶ 21-22.) One alleged type of harm caused by delayed organized opposition

is, “[t]he foreseeable victims of felony drug activity....” (Ibid., ¶ 123.) Other

identified types are, “incurred costs, including legal fees, diminished use and

enjoyment of their residences and their immediate neighborhood, and reduction

in the value of their real property attributable to the operation of a facility

on the represented terms as compared with a facility operated on the actual

terms governing the Project.” (Ibid., ¶ 177.)

Particularity is not an

issue of concern here, where the FAC uniquely includes evidentiary level

pleading, especially given the above-referenced flexibility in the applicable

law about pleading fraud.

3. Equitable

Relief, Rescission

and Cancellation of Instruments

Defendants make these

points about Equitable Relief:

.
Plaintiffs are not parties to the relevant

agreements they seek to rescind or cancel.

.
Plaintiffs do not plead that any

instruments are void or voidable against them or that they face a reasonable

apprehension of serious injury (Civ. Code § 3412).

.
Plaintiffs cannot rescind contracts to

which they are not parties (Civ. Code § 1691).

Plaintiffs essentially

contend that strangers to agreements may rescind instruments that are void ab

initio, pursuant to Government Code section 1090.

“A prerequisite to any

claim for rescission is a contract between the parties.” (Viterbi v. Wasserman (2011) 191 Cal.App.4th 927, 935.) But, importantly,

a contract can be rescinded, “[i]f the public interest will be prejudiced by

permitting the contract to stand.” (Civ. Code, § 1689, subd. (b)(6).)

And the elements of a Cause of Action for

instrument cancellation are these: 1) A written instrument; 2) a

reasonable apprehension that it may cause serious injury to someone; and 3) as

to whom it is void or voidable. (Civ. Code, § 3412. See also *Kroecker v.*

Hurlbert (1940) 38 Cal.App.2d 261, 266 ["In actions to cancel a certain

instrument it is necessary for the complaint to state a case within the code

sections for which reason it is essential to allege the facts affecting the

validity and invalidity of the instrument which is attacked."].)

A taxpayer action may

support a remedy of cancellation of others' agreement, if found to be illegal

for some applicable reason. (See *Hiller v. City of Los Angeles* (1961) 197

Cal.App.2d 685, 687-694 [judgment cancelling contract reversed because it was

not illegal notwithstanding trial court ruling to the contrary].) Taxpayers can

have standing to prevent injury to the public, even absent any injury to

themselves, depending on the circumstances. (E.g., *Chiatello v. City &*

Cnty. of San Francisco (2010) 89 Cal.App.4th 472, 481–482 [no standing to

challenge tax collection].) "In this state we have been very liberal in the

application of the rule permitting taxpayers to bring a suit to prevent the

illegal conduct of city officials, and no showing of special damage to the

particular taxpayer has been held necessary." (*Crowe v. Boyle* (1920) 184 Cal.

117, 152 [injunction denied because particular contract was valid].)

As already specified above

as to the First Cause of Action, the FAC satisfactorily alleges various theories of illegality. Further, allegations cover theories of the public interest being prejudiced by permitting the contract to stand and a reasonable apprehension that it may cause someone serious injury. (E.g., FAC, ¶¶ 123, 177.)

4. Declaratory

Relief

Regarding Declaratory

Relief, Defendants advance the following grounds:

.

Declaratory relief is not an independent

cause of action.

.

Plaintiffs do not plead an actual

controversy between Plaintiffs and Weingart as required by Code Civ. Proc. §

1060.

.

The Claim duplicates the First, Fourth,

and Seventh Causes of Action.

.

Declaratory relief is not necessary or

proper (Code Civ. Proc. § 1060).

Plaintiffs reason that the

Fifth Cause of Action alleges an actual controversy and is not duplicative.

Procedurally, with

exceptions, a demurrer must be overruled, if an actual controversy is alleged,

even if plaintiffs are not entitled to a judgment in their favor. (Nede Mgmt. Inc. v. Aspen American Ins. Co.

(2021) 68 Cal.App.5th 1121, 1132 [where complainants adequately allege an

actual controversy in support of a declaratory relief claim, demurrers

technically should be overruled, but sustaining and declaring adversely is

nonprejudicial error, when the pleading fails to allege entitlement to relief

on the merits, as questions of law based on undisputed allegations.]; Osseous

Technologies of Amer., Inc. v. DiscoveryOrtho Partners LLC (2010) 191 Cal.App.4th 357, 364 [“The mere

circumstance that another remedy is available is an insufficient ground for

refusing declaratory relief, and doubts regarding the propriety of an action

for declaratory relief ... generally are resolved in favor of granting

relief.”]; Farmers Ins. Exchange

v. Zerín (1997) 53 Cal.App.4th 445, 460 [“Strictly speaking, a demurrer is

not an appropriate weapon to attack a claim for declaratory relief inasmuch as

the plaintiff is entitled to a declaration of its rights, even if adverse.”]; Bardin v. DaimlerChrysler Corp. (2006)

136 Cal.App.4th 1255, 1277 [no actual controversy exists because claims

underlying declaratory relief insufficiently alleged on the merits]; Hood v. Superior Court (1995) 33

Cal.App.4th 319, 324 [declaratory relief unavailable where duplicates other

cause of action]. But see Batt v. City

and County of San Francisco (2007) 155 Cal.App.4th 65, 82 [declaratory

relief is an equitable remedy, not an independent cause of action], disapproved on other grounds by McWilliams v. City of Long Beach (2013)

56 Cal.4th 613, 626.)

The FAC challenges future

expenditures and project work, as to the element of actual controversy. (E.g.,

FAC, ¶¶ 18 (“Plaintiffs challenge ongoing and future expenditures of public

funds under the Project, including continuing project expenditures and

undisbursed City operating funds,...”), 19 (“Plaintiffs seek to halt further work

on the Property and any further disbursement....”), 34, 120 (“The future

disbursement authorization is an independent legislative act that has not yet

occurred....”).)

Further, the Claim is not

simply duplicative of other claims, where it specifies other sub-issues for

determination beyond just the claim elements. (E.g., FAC, ¶¶ 199-202.)

5. Injunctive

Relief

Defendants argue against

Injunctive Relief, for the following specified reasons:

.

Injunctive relief is not an independent

cause of action.

.

The claim is derivative of, and

duplicative of, Code of Civil Procedure section 526a and Government Code section

1090.

.

Plaintiffs seek overbroad relief to enjoin

some specified funds, construction and renovation activity, and a public

accounting, unconnected with any viable substantive claim.

.

The Opposition, “concedes the demurrer on

the seventh count.” (Reply, 10:1.)

Plaintiffs maintain that,

at most, the Court may treat the Seventh Cause of Action as a request for

relief tied to the other substantive claims.

“In considering a

demurrer, the court is not required to ignore controlling law merely because

the plaintiff does not rely on it.” (Dey

v. Continental Central Credit (2008) 170 Cal.App.4th 721, 730.) Under some

authorities uncovered by the Court’s own research, Injunctive Relief is a

cognizable claim having the elements of:

Wrongful act stating a cause of

action; and

basis for equitable relief (e.g.,

ordinarily irreparable harm must be threatened, or a remedy at law is

inadequate).

(Brownfield v. Daniel

Freeman Marina Hosp. (2d Dist. 1989) 208 Cal.App.3d 405,

410; Intel Corp. v. Hamidi (2003) 30

Cal.4th 1342, 1352. See also San Diego

Unif. Port Dist. v. Gallagher (1998) 62 Cal.App.4th 501, 503 [“To qualify

for a permanent injunction, the plaintiff must prove (1) the elements of a

cause of action involving the wrongful act sought to be enjoined...; and (2) the

grounds for equitable relief.”]; E.H.

Renzel Co. v. Warehousemen’s Union I.L.A. 38-44 (1940) 16 Cal.2d 369, 373

[“A complaint for an injunction which alleges only general conclusions, not

warranted by any pleading of facts, does not state a cause of action to enjoin

the acts complained of.”]. Cf. Douglas v.

Superior Court (1989) 215 Cal.App.3d 155,159 [“second cause of action for

conspiracy to defraud incorporates the allegations of the first cause of

action, the demurrer to that cause of action should also have been overruled.”].

But see, e.g., Marlin v. Aimco Venezia, LLC (2007) 154

Cal.App.4th 154, 162 [“An injunction is a remedy, not a cause of

action.”]; Shamsian v. Atlantic Richfield

Co. (2003) 107 Cal.App.4th 967, 984-985 [“Correctly, the respondents state

that a request for injunctive relief is not a cause of action.... Therefore, we

cannot let this ‘cause of action’ stand. However, ... on remand the trial court

shall permit the appellants to amend their ... cause of action to include their

request for injunctive relief.”.)

Furthermore, the claim,

incorporating by reference the others, is not merely duplicative of other

claims, including because it specifies various types of relief and facts not

encompassed in elements of the other Causes of Action. (E.g., FAC, ¶¶ 209, 215.)

Additionally, that

Injunctive Relief may be overly broad as partly unsupported is not an

authorized basis for a demurrer that must address entire causes of action, not

just parts of them.

6. Indispensable

Parties

Defendants opine that Plaintiffs

failed to join indispensable parties.

Plaintiffs' Opposition

does not address this issue, except for a brief "joinder" reference, at page

18, line 17.

A judge in a civil case

may, but is not "'obligated to seek out theories [a party] might have advanced,

or to articulate ... that which ... [a party] has left unspoken.'" (Mesecher v.

County of San Diego (1992) 9 Cal.App.4th 1677, 1686.)

Where the question of

joinder is not sufficiently revealed in the pleading stage, courts

appropriately defer the decision until the action was further advanced. (Countrywide Home Loans v. Superior Court

(1999) 69 Cal.App.4th 785, 793; Harboring

Villas Homeowners Ass'n v. Superior Court (1998) 63 Cal.App.4th 426, 430.) "Joinder

is required only when the absentee's nonjoinder precludes the court from

rendering complete justice among those already joined..."and any effects

upon future litigation or the absent party are immaterial. (Countrywide Home Loans v. Superior Court

(1999) 69 Cal.App.4th 785, 794.)

Distinguishably, other

taxpayers' case allegations and arguments had clearly revealed that

indispensable parties were not joined. (See *Covarrubias v. James* (1971)

21 Cal.App.3d 129, 133 [unions would find collective bargaining agreements

annulled as to public projects and involve a ruling of union discrimination].)

The FAC already names

allegedly responsible governmental and private entities, and current former

governmental officials, and it does not reveal that nonjoinder of any parties, regarding

enjoining expenditures of City funds for the project, would somehow preclude justice

among those already joined.

7. Laches

Defendants contend that claims

are barred by laches and unreasonable delay.

Plaintiffs assert the

demurrer procedure where laches may be decided only if both elements appear on

the face of the complaint, which is not the case here.

As

a matter of procedure, complainants are not required to address and anticipate

affirmative defenses in their pleadings, unless already revealed. (E.g., *Gentry v. eBay, Inc.* (2002) 99 Cal.App.4th 816, 825.)
"[A]

demurrer based on an affirmative defense will be sustained only where the face

of the complaint discloses that the action is necessarily barred by the

defense.'" (*McKenney v. Purepac*

Pharmaceutical Co. (2008) 167 Cal.App.4th 72, 78-79.)

The

elements of the Affirmative Defense of Laches, are these:

Failure to

assert a right;

unreasonable

delay; and

resulting

prejudice to the adverse party.

(*In re Marriage of Powers* (1990) 218

Cal.App.3d 626, 642. See also *Barndt v.*

County of L.A. (1989) 211 Cal.App.3d 397, 403, fn.1 ["If the complaint

merely discloses the lapse of a long period of time without affirmatively

showing or necessarily implying any injury to the defendant therefrom, it does

not show laches on its face, and a demurrer should not be sustained.']; *Golden Gate Water Ski Club v. County of*

Contra Costa (2008) 165 Cal.App.4th 249, 263 [laches involves a fact

question, but may be decided as a matter of law where relevant facts are not disputed]; Connolly v. Trabue (2012)

204 Cal.App.4th 1154, 1164 [“laches applies to equitable actions, not actions at law.”].)

Here,

laches is not revealed by the repeatedly alleged reasons for the delayed

lawsuit. (E.g., FAC, ¶¶ 16 (“residents also relied on Weingart’s written

representations regarding the Project’s operating conditions and did not yet

possess the records necessary to uncover the full extent of the alleged fraud,

waste, and misuse of public funds.”), 18 (“material facts underlying these

claims were not publicly available and that key documents necessary to plead

them were not produced until 2026.”), 68 (“The Concealment Clause prevented

public scrutiny of the double escrow structure....”), 147 (“During much of 2025,

residents did not yet possess the records necessary....”).) Besides, the FAC does

not address any harm caused to Defendants flowing from any delay.

B. Special

Motion to Strike

Defendants bring the Special

Motion to Strike the Second and Third Causes of Action, on grounds that they

arise from communications about a publicly funded interim-housing facility that

is a public controversy. Defendants add that Plaintiffs cannot establish a

probability that they will prevail, because:

1.

The alleged misrepresentations concern the

future operation of an unopened facility, not actionable misstatements of past

or existing fact.

2.

One of the alleged

misrepresentations—statements attributed to Councilmember Yaroslavsky—is not

attributable to Weingart.

3.

Plaintiffs cannot establish falsity of the

challenged statements.

4.

Plaintiffs cannot establish the required

state of mind under either fraud or negligent misrepresentation standards.

5.

Plaintiffs cannot establish actual or

justifiable reliance on the challenged statements.

6.

Plaintiffs cannot establish causation or

recoverable fraud damages.

7.

Plaintiffs cannot preserve their punitive

damages prayer.

As for step 1 of the

SLAPP analysis, Plaintiffs argue that Defendants' misrepresentations are not

protected speech under Code of Civil Procedure section 425.16, because they occurred

after the public decisions were finalized.

Regarding step 2,

Plaintiffs contend that the several filed declarations by Plaintiffs and their

neighbors, evidence the elements of Fraud, including that they relied upon Defendants'

written assurances, withdrew from opposing the project, and thereby lost their

ability to oppose the project sooner and more effectively, without risking a

complete loss of that capability.

1. Step

1

"[T]he

fact that a defendant's conduct was alleged to be illegal, or that there was

some evidence to support a finding of illegality, does not preclude protection

under the anti-SLAPP law.” (Wallace v.

McCubbin (2011) 196 Cal.App.4th 1169, 1188, disapproved on other grounds by Baral v. Schnitt (2016) 1 Cal.5th 376, 396.)
The rule that the

SLAPP statute does not protect speech or petitioning conclusively shown, or

conceded to be, illegal, is limited to criminal conduct. (Fremont Reorganizing Corp. v. Faigin (2011) 198 Cal.App.4th 1153, 1169.)

Specifically

applicable to this case, an allegedly fraudulent statement may nonetheless arise

from a protective activity, depending upon whether it involved a public issue,

for instance. (See Talega Maint. Corp. v. Standard Pac. Corp. (2014) 225

Cal.App.4th 722, 735.)

Still,

a complaint is exempt from the SLAPP statute, under Code of Civil Procedure

section 425.17, subdivision (b), if it would benefit the public, as determined

by examining the complaint type and prayer, to ascertain whether it seeks to

vindicate public policy goals, without getting into evidence. (Tourgeman v. Nelson & Kennard (2014)

222 Cal.App.4th 1447, 1463.) But under Code of Civil Procedure section

425.17(b), the public interest exception does not apply if any part of the

complaint seeks relief to directly benefit the plaintiff, greater than, or

different from, relief sought on behalf of the general public. (Lindsay

v. Patenaude & Felix APC (2024) 107 Cal.App.5th 335, 345.)

The

Court finds that the statements involve ongoing activities of public interest, even after decisions had been made and implemented, because Plaintiffs, and the other taxpayers they seek to benefit, seek future (not moot) remedies to enjoin or cancel instruments and actions, based upon Defendants' alleged inducement of their foregoing timely actions to their detriment. (E.g., FAC, ¶¶ 18-20.) Moreover, the Defendants' decisions are not all in the past, to remove the public interest aspect, but rather the FAC admits that there are some decisions yet outstanding to be made. (E.g., FAC, ¶ 120 ("The future disbursement authorization is an independent legislative act that has not yet occurred....").)

A

case Plaintiffs cited did not specifically address lost public interest after conduct totally completed in the past, but instead addressed much broader factors, and thus is unpersuasive here. (See *FilmOn.com Inc. v. DoubleVerify Inc.* (2019) 7 Cal.5th 133, 154 ["content and context lets us discern in this case is that ... report does not qualify for protection under the catchall provision of the anti-SLAPP statute."].) (Underscoring added.)

Notwithstanding

the above, the Court finds and concludes that the public interest exception of the SLAPP statute applies, including because the FAC uniformly requests

the same relief on behalf of Plaintiffs and the general public, without

Plaintiffs seeking any relief greater than or different from that relief. (See,

e.g., FAC, pp. 55-56 (Prayer for Relief).) That they seek damages for

themselves is not alone determinative.

Because

the FAC is excepted from the SLAPP statute, the Court need not proceed to step

2, but does so anyway, for the sake of completeness.

2. Step

2

As further analyzed above

regarding the Demurrer, Plaintiffs sufficiently alleged all necessary elements

for viable Causes of Action based upon misrepresentations by those having

superior knowledge, which focus upon being induced to forego timely challenges,

to their detriment of losing some or all ability to stop the project and to

recoup funds. (E.g., FAC, ¶ 20.) As to the Motion to Strike, in support of

those alleged elements, Plaintiffs have filed several declarations by

themselves and nonparty witnesses, about reliance upon the representations concerning

safety arrangements, and Defendants inferred knowledge of falsity given

contradictory documentation.

Also, Plaintiffs need not

evidence every alleged misrepresentation. “[W]here a cause of action arises

from both protected activity and unprotected activity, the plaintiff may

satisfy its obligation in the second prong by simply showing a probability of

prevailing on any part of the cause of action.” (Wallace v. McCubbin (2011) 196 Cal.App.4th 1169, 1212, disapproved on other grounds by Baral v. Schnitt (2016) 1 Cal.5th 376,

396.) Here, the FAC alleges a variety of misrepresentations from public and

private individuals, any one of which could support the claims. (E.g., FAC, ¶¶14-16,

21-22.)

IV.

CONCLUSION

In summary, a sound

determination of the issues raised by the Demurrer and Motion is achieved by

faithfully applying all applicable law beyond just that cited by the parties,

and considering the full content of the FAC.

Additionally, the Court

has considered the evidentiary objections in making its ruling. Where all or

some evidentiary objections were not expressly ruled upon, appellate courts

presume that they have been overruled. (Union Pac. R.R. Co. v. Superior

Court (2024) 105 Cal.App.5th 838, 850 [citing Reid v. Google, Inc.

(2010) 50 Cal.4th 512, 534]. Accord, Valentine v. Plum Healthcare Grp., LLC

(2019) 37 Cal.App.5th 1076, 1089.)

Accordingly, the Court

overrules the Demurrer, and denies the Motion, for reasons analyzed herein.